AEGIS BANK

Expense Approval Policy

Enterprise AI Decision & Knowledge Platform for Modern Banking

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Document Information

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Approved By	**Sami Khan – Chief Executive Officer (CEO)**

Confidentiality Notice

This document defines the rules, procedures, and approval requirements for managing employee and departmental expenses at Aegis Bank.

The objective of this policy is to ensure financial discipline, transparency, proper authorization, and effective cost management.

Unauthorized access or modification of this document is prohibited.

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1. Purpose

The purpose of this policy is to establish a standardized process for requesting, reviewing, approving, and monitoring expenses at Aegis Bank.

This policy ensures:

- Responsible spending.
- Financial transparency.
- Proper authorization.
- Budget control.
- Fraud prevention.

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2. Scope

This policy applies to:

- All Aegis Bank employees.
- Department managers.
- Finance teams.
- Procurement teams.
- Executive management.

It covers:

- Operational expenses.
- Technology expenses.
- Business travel.
- Office expenses.
- Vendor-related costs.

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3. Expense Management Principles

Aegis Bank follows these principles:

Accountability

Employees are responsible for expenses they submit.

Authorization

Expenses require approval before payment.

Transparency

All expenses must have proper documentation.

Cost Efficiency

Employees should use resources responsibly.

Compliance

Expenses must follow financial regulations and internal policies.

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4. Eligible Expenses

Approved expenses may include:

Business Operations

Examples:

- Office supplies.
- Software subscriptions.
- Business services.

Technology Expenses

Examples:

- Cloud services.
- Security tools.
- Development platforms.

Employee Business Travel

Examples:

- Transportation.
- Accommodation.

- Business meetings.

Training & Development

Examples:

- Professional courses.
- Certifications.
- Conferences.

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5. Non-Allowable Expenses

The following expenses are not permitted:

❌ Personal purchases
❌ Unapproved entertainment costs
❌ Duplicate claims
❌ Expenses without proof
❌ Unauthorized subscriptions

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6. Expense Submission Process

Expense workflow:

Employee Expense Request

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Receipt & Documentation Upload

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Manager Review

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Finance Verification

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Approval

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Payment Processing

Required information:

- Employee details.
- Expense category.
- Amount.
- Business purpose.
- Supporting documents.

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7. Approval Workflow

All expenses follow a controlled approval process.

Step 1 — Employee Submission

Employee submits expense request with evidence.

Step 2 — Manager Review

Manager verifies:

- Business purpose.
- Budget availability.
- Necessity.

Step 3 — Finance Review

Finance checks:

- Documentation.
- Policy compliance.
- Accounting classification.

Step 4 — Payment Approval

Approved expenses are processed.

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8. Approval Authority Matrix

Expense Amount	Required Approval
Up to $500	Department Manager
$501 - $5,000	Department Head
$5,001 - $25,000	Finance Director
Above $25,000	Executive Management

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9. Expense Verification Requirements

Finance team verifies:

- Valid receipts.

- Correct amount.
- Business justification.
- Duplicate submissions.
- Budget availability.

Incomplete requests may be rejected.

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10. Finance Review Process

Finance performs:

- Expense validation.
- Account classification.
- Compliance checks.
- Payment authorization.

Review ensures:

- Accurate financial records.
- Proper cost control.
- Audit readiness.

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11. AI-Assisted Expense Management

Aegis AI OS supports finance teams.

AI can assist with:

- Expense categorization.
- Policy lookup.
- Duplicate detection.
- Spending analysis.

AI Workflow:

Expense Submission

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AI Classification

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Policy Validation

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Risk Detection

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Finance Review

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Approval Decision

AI does not approve financial payments independently.

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12. Fraud Prevention Controls

Aegis Bank prevents expense fraud through:

- Receipt verification.
- Approval controls.
- Audit logs.
- Duplicate detection.
- Spending monitoring.

Fraud examples:

- Fake receipts.
- Duplicate claims.
- Personal expenses submitted as business costs.

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13. Expense Reporting

Finance maintains reports including:

- Department spending.
- Monthly expenses.
- Budget utilization.
- Approval history.

Reports support:

- Financial planning.
- Audit activities.
- Management decisions.

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14. Practical Examples

Example 1 — Software Subscription Purchase

Employee requests AI development tool.

Process:

1. Expense submitted.
2. Manager approves.
3. Finance validates subscription.
4. Payment processed.

Example 2 — Business Travel Expense

Employee submits travel costs.

Process:

1. Receipts uploaded.
2. Manager reviews purpose.
3. Finance approves reimbursement.

Example 3 — Suspicious Expense

Finance detects duplicate claim.

Process:

1. Expense flagged.
2. Employee contacted.
3. Investigation performed.
4. Action taken.

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15. Frequently Asked Questions (FAQs)

Q1. Why are expense approvals required?

To ensure responsible financial management.

Q2. Can employees submit personal expenses?

No. Only approved business-related expenses are allowed.

Q3. Can AI approve expenses?

No. AI assists review processes but humans make final decisions.

Q4. Why are receipts required?

To verify authenticity and maintain financial records.

Q5. How are expense records maintained?

Through secure finance systems and audit records.

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16. Revision History

Version	Date	Description	Author
v1.0	April 28, 2026	Initial Expense Approval Policy Release	Finance Department
v1.1	May 30, 2026	Added AI Expense Analysis Controls	Finance Technology Team
v1.2	**July 24, 2026**	**Enhanced Approval Workflow, Fraud Prevention, and AI-Assisted Finance Controls**	**Finance Department**

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17. Document Approval

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Document Control

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End of Document

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